

MBA 107: Marketing Management

Unit 1 – Introduction to Marketing Function

Unit 2 – Marketing Environment

Exam-Oriented Notes

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1 Unit 1: Introduction to the Marketing Function

1.1 What is Marketing?

According to the **American Marketing Association (AMA)**: “Marketing is the process of creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.”

This definition rests on four pillars:

1. **Creating** – designing a product/service that solves a problem or fulfils a need.
2. **Communicating** – promoting the product so customers become aware of its existence and value.
3. **Delivering** – ensuring the product is available at the right time, place, and format.
4. **Exchanging** – facilitating the transaction that allows customers to obtain the offering.

1.1.1 Conditions for an Exchange to Occur

- There are at least two parties.
- Each party has something that might be of value to the other.
- Each party is capable of communication and delivery.
- Each party is free to accept or reject the exchange offer.
- Each party believes it is appropriate/desirable to deal with the other.

1.2 What is Marketing Management?

Marketing Management is the *art and science of choosing target markets and getting, keeping, and growing customers through creating, delivering, and communicating superior customer value* (Kotler).

1.2.1 Marketing Management Tasks

- Developing marketing strategies
- Capturing marketing insights
- Connecting with customers
- Building strong brands
- Shaping market offerings
- Delivering value
- Communicating value
- Creating long-term growth

1.3 What Can Be Marketed? (Ten Types of Entities)

- **Goods** – cars, trucks, TVs, tools, machines, watches.
- **Services** – airlines, hotels, car rentals, banks, lawyers.

- **Events** – trade shows, artistic performances, Olympics.
- **Experiences** – amusement parks, theme-based restaurants.
- **Persons** – artists, musicians, CEOs, social-media influencers.
- **Places** – smart cities, Silicon Valley, tourism destinations.
- **Properties** – real estate, private apartments, commercial office space.
- **Organizations** – WWF, UNESCO, Walmart, Philips, TATA, ITC.
- **Information** – adding value by providing additional information (e.g., Steve Jobs launching the iPhone).
- **Ideas** – social marketing (AIDS awareness, family planning, anti-smoking campaigns).

1.4 Demand States (8 Types)

Marketing management is essentially **demand management**. The eight demand states identified by Kotler are:

- **Negative demand** – consumers dislike the product and may even pay to avoid it.
- **Nonexistent demand** – consumers are unaware of or uninterested in the product.
- **Latent demand** – a strong need exists that cannot be satisfied by existing products.
- **Declining demand** – demand for a product falls below previous levels.
- **Irregular demand** – demand varies by season, day, or hour (seasonal demand).
- **Unwholesome demand** – demand for products having undesirable social consequences.
- **Full demand** – consumers are adequately buying all products put into the marketplace.
- **Overfull demand** – demand is higher than the company can or wants to satisfy.

1.5 Role of Marketing in Business

1. **Identifying Customer Needs** – marketing helps understand what customers want, how they behave, what problems they face, and what gaps exist in the market. *Example:* Nike identified a growing need for sustainable athletic wear and launched the “Move to Zero” campaign with eco-friendly products.
2. **Developing Products/Services to Satisfy Those Needs** – based on customer insights, companies design products that offer real value. *Example:* Apple launched the iPhone based on the insight that customers wanted a single device combining phone, camera, music player, and internet browser.
3. **Communicating the Value Proposition** – ensures the target audience understands what the product is, why it’s valuable, and how it differs from competitors. *Example:* Dove’s “Real Beauty” campaign communicated an emotional value proposition around redefining beauty standards.
4. **Driving Revenue and Business Growth** – effective marketing results in increased sales, customer acquisition/retention, and brand loyalty. *Example:* Amazon Prime uses personalised recommendations and seamless delivery to increase customer lifetime value.

1.6 Key Customer Markets

- **Consumer markets** – individuals/households buying for personal consumption.
- **Business markets** – organisations buying goods/services for further production or resale (B2B).
- **Global markets** – international/cross-border markets.
- **Nonprofit/Government markets** – institutions with budget constraints (e.g., NGOs, government bodies).

1.7 The Changing Marketplace

The marketplace is being reshaped by four major forces:

- **Changing technology** – digital, mobile, and AI-driven marketing.
- **Globalization** – cross-border trade and competition.
- **Deregulation** – relaxation of government controls on industries.
- **Privatization** – shift of public enterprises to private ownership.
- **Customer empowerment** – consumers have more information, choice, and voice (via internet/social media).
- **Customization** – mass customization of products/services to individual needs.

1.8 Marketing Mix and the Customer: 4 Ps vs. 4 Cs

The traditional producer-oriented **4 Ps** map to the customer-oriented **4 Cs**:

4 Ps (Company view)	4 Cs (Customer view)
Product	Customer solution
Price	Customer cost
Place	Convenience
Promotion	Communication

The Marketing Mix operates around the **Target Market** at its centre.

1.9 Core Marketing Concepts

- Needs, wants, and demands
- Target markets, segmentation, and positioning
- Offerings and brands
- Value and satisfaction
- Marketing channels
- Supply chain
- Competition
- Marketing environment
- Marketing planning

1.9.1 Needs, Wants and Demands

- **Need** – a basic human requirement (food, shelter, safety, belonging).
- **Want** – a need shaped by culture and individual personality, directed at specific objects.
- **Demand** – wants backed by buying power (ability and willingness to pay).

1.9.2 Five Types of Needs

- **Stated needs** – what the customer literally says (“I want an inexpensive car”).
- **Real needs** – the underlying need (“I want a car with low operating cost, not necessarily low initial price”).
- **Unstated needs** – expectations the customer does not voice (e.g., good dealer service).
- **Delight needs** – extras that create pleasant surprise (e.g., a free accessory or discount on next service).
- **Secret needs** – the customer’s deeper desire, e.g., to be seen by friends as a savvy shopper / to be recognised on next visit.

1.10 Evolution of Marketing / Company Orientations

Five historical stages (**PPMSC**: Production → Product → Selling/Sales → Marketing → Societal):

Orientation	Period	Trigger Event	Focus
Production	Late 1800s (Industrial Revolution)	Mass production	Availability & affordability of goods
Product	Early 1900s	—	Quality, performance, innovation
Sales	Early 1930s	Great Depression	Push products through aggressive selling/promotion
Marketing	Mid 1950s	End of WWII, pent-up demand	Understanding & satisfying customer needs
Societal	1990s – present	Rising social/environmental concern	Balancing profit, customer satisfaction, and society's welfare

1.10.1 1. Production Orientation (Late 1800s–1930s)

- Belief: consumers favour products that are widely **available** and **affordable**.
- Focus: mass production, low cost, distribution efficiency.
- Philosophy: “If we make it, they will buy it.”
- *Example:* Ford Motor Company (Model T) – Henry Ford mass-produced affordable cars via assembly-line technique. “You can have any colour as long as it is black” shows the focus was on efficiency, not customer choice.

1.10.2 2. Product Orientation (1900s–1930s)

- Belief: consumers favour products offering the best **quality**, **performance**, or **features**.
- Risk: leads to **Marketing Myopia** (see below) – excessive focus on the product rather than customer needs.
- *Example:* Sony (early Walkman) focused on engineering excellence over market research; *Example:* Apple (partially) emphasises design/innovation.

1.10.3 3. Sales/Selling Orientation (1930s–1950s)

- Assumption: consumers, if left alone, will not buy enough – so the firm must undertake **aggressive selling and promotion**.
- Believed necessary for **unsought goods** (e.g., insurance, encyclopedias).
- *Example:* Insurance companies rely on agents/telecallers; *Example:* Coca-Cola in the 1940s used extensive advertising to create global desire.

1.10.4 4. Marketing/Market Orientation (1950s–present)

- The **Marketing Concept**: the social and economic justification for an organisation’s existence is the satisfaction of customer wants and needs while meeting organisational objectives.
- Focuses on customer wants and needs to distinguish products from competition; integrates all organisational activities around the customer; achieves long-term goals via customer satisfaction.
- Philosophy: “Customer is king.” Conduct market research, segment the market, tailor offerings.
- *Example:* Amazon uses data to understand preferences and personalise experiences.

1.10.5 5. Societal Marketing Orientation (1990s–present)

- Marketing that preserves or enhances both the **individual’s** and **society’s** long-term best interests.
- Balances company profits, customer satisfaction, and society’s well-being; “Do well by doing good.”
- Emphasis on less toxic, more durable products, and reusable/recyclable materials.
- *Example:* The Body Shop – ethical sourcing and cruelty-free testing; *Example:* TOMS Shoes – “One-for-One” model.

1.10.6 Sales Orientation vs. Market Orientation (Comparison)

	Org's Focus	Firm's Business	For Whom?	Primary Goal	Tools
Sales Orientation	Inward	Selling goods & services	Everybody	Maximum sales volume	Primarily promotion
Market Orientation	Outward	Satisfying wants & needs	Specific groups of people	Customer satisfaction	Coordinated use of all marketing activities

1.10.7 Marketing Myopia

- Concept given by **Theodore Levitt**.
- Marketers suffer from myopia when they pay more attention to the specific **product** than to the **benefit/need** it fulfils.
- Sellers see themselves as selling a product rather than providing a solution to a need.
- *Example:* A drilling-machine manufacturer may think the customer needs a drilling machine, but what the customer actually needs is a hole.

1.10.8 Four Approaches to Marketing (Summary Table)

Approach	Description & Example
Production Concept	Consumers prefer widely available products (e.g., Lenovo, Haier, Samsung).
Product Concept	Consumers prefer the highest quality/innovation (e.g., iPhone, MG Hector, Alexa).
Selling Concept	Sell more to more people for more profit; aggressive selling of unsought goods (e.g., encyclopedias).
Marketing Concept	Customer-centred “sense and respond” – find the right product for the customer.

1.11 Customer Value

Customer Value is the customer's *perception* of what they get (benefits) versus what they give up (costs) when purchasing/using a product or service. It is a **subjective** assessment that varies with preferences, needs, income, and social influence.

“Value is not what you put into a product, it's what the customer gets out of it.” – Peter Drucker

1.11.1 Customer Value Formula

$$\text{Customer Value} = \frac{\text{Perceived Benefits}}{\text{Perceived Costs}}$$

- **Perceived Benefits:** functional utility, quality, experience, brand prestige, convenience.
- **Perceived Costs:** price paid, time, effort, emotional effort, risk.
- Rule: higher perceived benefit + lower perceived cost → greater customer value.

1.11.2 Types of Customer Value

1. **Functional Value** – the practical/utilitarian benefit from performance, features, or quality. Focus: usefulness, efficiency, problem-solving. *Example:* Dyson vacuum cleaner (suction power); Tata Nano (low-cost basic transport).
2. **Emotional Value** – feelings/affective states a product evokes. Focus: pleasure, excitement, nostalgia, pride, trust. *Example:* Apple iPhone (pride/status); Ferrero Rocher (celebration/luxury).
3. **Social Value** – helps the customer gain social approval or reinforce self-image among peer groups. Focus: status signalling, group acceptance, belonging. *Example:* Nike/Adidas shoes signal athleticism/style; Tesla ownership signals environmental consciousness.

Product	Functional Value	Emotional Value	Social Value
Starbucks Coffee	High-quality brew, convenience	Comfort, indulgence	Seen as modern/trendy
Mercedes-Benz Car	Safety, engineering, reliability	Pride of ownership	Status symbol
Spotify Premium	Unlimited music, offline mode	Joy, mood enhancement	Sharing playlists, taste identity

1.12 Customer Satisfaction and Delight

Customer Satisfaction is the measure of how well a product/service meets or exceeds customer expectations – a **post-purchase evaluation** comparing expectations to actual experience.

1.12.1 Satisfaction Formula

$$\text{Satisfaction Level} = \text{Perceived Performance} - \text{Customer Expectations}$$

- Performance < Expectations → **Dissatisfaction**
- Performance = Expectations → **Satisfaction**
- Performance > Expectations → **Delight**

Example: A customer expects a laptop battery to last 5 hours. Exactly 5 hrs = satisfied; only 3 hrs = dissatisfied; 8 hrs = delighted.

1.12.2 Importance of Customer Satisfaction

- Increases repeat purchases and customer retention.
- Encourages positive word-of-mouth.
- Reduces churn and complaints.
- Enhances brand reputation and long-term profitability.

1.12.3 Measurement Tools

- **Customer Satisfaction Score (CSAT)** – “How satisfied were you with the service?” (rated 1–5 or 1–10)

- **Net Promoter Score (NPS)** – “How likely are you to recommend us?” (%Promoters – %Detractors)
- **Customer Effort Score (CES)** – “How easy was it to interact with our service?”

1.12.4 Customer Delight

Achieved when a company **exceeds** customer expectations in a way that generates emotional engagement and loyalty – goes beyond satisfaction by offering a “wow” experience. *Example:* Taj Hotels – a guest casually mentions a food allergy; the next day, the chef customises meals without being asked again: memorable service = delight.

Satisfaction vs. Delight (Comparison)

Feature	Satisfaction	Delight
Meets Expectations	Yes	Yes
Exceeds Expectations	Not always	Always
Emotional Response	Neutral	Positive
Loyalty Driver	Moderate	Strong
Word-of-mouth	Limited	High likelihood

Strategies to Create Customer Delight

- **Personalization** – remember customer preferences (e.g., Amazon recommendations).
- **Surprise Upgrades** – free samples, unexpected discounts, VIP treatment.
- **Excellent Support** – quick, empathetic problem resolution (e.g., Apple Genius Bar).
- **Consistent Quality + Extra Effort** – reliable delivery with thoughtful touches.

1.13 Customer Engagement

Customer Engagement refers to the emotional connection and active participation a customer has with a brand across touchpoints. It goes beyond transactions – focusing on interaction, involvement, and value co-creation.

“Engaged customers are not just buying – they are interacting, sharing, advocating, and even helping shape the brand.”

1.13.1 Key Characteristics

- Two-way interaction (vs. one-way messaging).
- Based on trust, relevance, and emotions.
- Happens before, during, and after purchase.
- Leads to loyalty, retention, and advocacy.

1.13.2 Why Customer Engagement Matters

Engaged customers:

- Are 5x more likely to recommend the brand.
- Have longer customer lifecycles.

- Provide valuable feedback.
- Are less price-sensitive.

It increases **Customer Lifetime Value (CLV)** and reduces customer acquisition costs.

1.13.3 Types of Customer Engagement

1. **Cognitive Engagement** – involves the customer’s attention and thought process. *Example:* Reading a whitepaper on mutual funds before choosing a financial product.
2. **Emotional Engagement** – builds on feelings like trust, happiness, or excitement. *Example:* A heartfelt brand story in a Coca-Cola or Cadbury ad.
3. **Behavioral Engagement** – visible actions customers take. *Example:* Liking, sharing, commenting, writing reviews, joining loyalty programs.

1.13.4 Strategies of Customer Engagement

- **Omni-Channel Experience** – seamless interaction across web, mobile, in-store, and social. *Example:* IKEA lets users visualise furniture via AR in-app.
- **Personalization** – use customer data to tailor content/offers. *Example:* Netflix homepage customised per user.
- **Gamification** – points, badges, leaderboards to drive activity. *Example:* Duolingo streaks; Swiggy’s “Level Up” program.
- **Content Marketing** – blogs, videos, stories that educate/entertain/solve problems. *Example:* Red Bull’s extreme-sports videos.
- **Community Building** – user forums, Facebook groups, product ambassadors. *Example:* Harley-Davidson H.O.G. (Harley Owners Group).

1.14 Customer Journey

The **Customer Journey** is the complete sequence of experiences a customer goes through when interacting with a brand – from awareness to purchase and post-purchase stages.

“It’s not just about the destination (purchase), but about every interaction and emotion along the way.”

1.14.1 Stages of Customer Journey

Stage	Customer Perspective	Marketing Objective	Example
1. Awareness	"I have a need/problem"	Grab attention	Facebook ad for budget travel
2. Consideration	"What are my options?"	Educate and nurture	Visiting airline websites
3. Decision	"Which is the best choice?"	Convert to buyer	Comparing price & reviews
4. Purchase	"I'm buying it now"	Ensure smooth transaction	One-click checkout on Amazon
5. Retention	"Is it still valuable?"	Re-engage, provide value	Follow-up emails, loyalty points
6. Advocacy	"I'll recommend it"	Turn into brand ambassador	Posting a 5-star review

1.14.2 Touchpoints Along the Journey

A **touchpoint** is any interaction between the customer and the brand:

- **Pre-Purchase:** ads, website, blog articles, influencers.
- **During Purchase:** product pages, checkout process, sales support.
- **Post-Purchase:** email follow-ups, customer service, packaging, return policy.

Positive touchpoints increase conversion and loyalty; negative touchpoints create friction and drop-offs.

1.14.3 Customer Journey Mapping

The process of visually representing each step a customer takes and how they feel during those steps.

Components of a Customer Journey Map

- Stages (awareness → purchase → loyalty)
- Customer goals at each stage
- Touchpoints & channels (e.g., email, phone, app)
- Pain points and opportunities
- Emotions/thoughts during the experience

Stage	Customer Goal	Touchpoint	Emotion	Opportunity
Consideration	Find best price	Website comparison tool	Confused	Provide price match
Purchase	Complete order	Mobile checkout	Frustrated form	by Auto-fill + fewer fields
Retention	Get support	Chatbot	Satisfied	Add knowledge base for FAQ

1.15 Customer Touch Points

A **Customer Touch Point** is any interaction or point of contact between a customer (or prospect) and a brand before, during, or after purchase. Each touchpoint is a **moment of truth** that can positively or negatively impact the relationship.

“Every touchpoint is a brand ambassador – it tells your customer what you stand for.”

1.15.1 Why Touch Points Matter

- Influence customer decisions, loyalty, and advocacy.
- Help identify friction points and areas for improvement.
- Provide opportunities for engagement and personalization.
- Enhance overall Customer Experience (CX).

1.15.2 Classification of Touch Points

1. **Pre-Purchase Touch Points** – occur before a buying decision, focused on awareness/consideration. Channels: Advertising (TV, YouTube, print ads), Social Media (Instagram reels, tweets), Content Marketing (blogs, webinars, infographics), Word of Mouth (reviews, testimonials), Influencer Endorsements, SEO/SEM, Website.
2. **Purchase Touch Points** – occur while the customer actively completes the transaction. Channels: E-commerce platform (checkout flow), In-store staff, Mobile app (UI/UX), Payment gateway, Customer chat/support.
3. **Post-Purchase Touch Points** – occur after the sale; critical for retention, loyalty, referrals. Channels: Onboarding emails, Customer service, Product usage (manuals, packaging), Loyalty programs, Feedback requests (NPS surveys), Return process, Community engagement (forums, newsletters).

1.15.3 Touch Point Optimization Strategies

- **Consistency Across Channels** – unified tone, visuals, and messages (omnichannel marketing).
- **Personalization** – use data to tailor messages (e.g., “Hi Sarah, we noticed you looked at laptops...”).
- **Speed & Responsiveness** – quick loading websites, real-time support, fast delivery.
- **Customer Feedback Loop** – improve weak touchpoints by listening to feedback (e.g., low app ratings).
- **Technology Integration** – CRM, automation tools, chatbots, and AI to manage interactions.

1.16 Marketing Mix

The **Marketing Mix** is a foundational model outlining the key controllable elements a company uses to influence consumer purchasing decisions and meet customer needs. Originally the **4 Ps** (E. Jerome McCarthy, 1960), extended to the **7 Ps** for services.

“The marketing mix is the tactical toolkit for executing a marketing strategy.”

1.16.1 The 7 Ps in Detail

1. **Product** – the goods/services offered to meet customer needs. Decisions: design, features, quality, branding, packaging, product life-cycle (Introduction → Growth → Maturity → Decline), variants. *Example:* Apple iPhone (design, ecosystem); Amul Butter (trusted, consistent quality).
2. **Price** – the amount the customer pays. Strategies: cost-plus pricing, value-based pricing, penetration pricing (low, to gain market share), skimming pricing (high initial price), psychological pricing (e.g., Rs. 99 instead of Rs. 100). *Example:* Netflix (tiered subscriptions); Big Bazaar (discounts/combos).
3. **Place (Distribution)** – how/where the product is made available. Channels: direct (company website) vs. indirect (retailers/wholesalers); online vs. offline; intensive vs. exclusive vs. selective distribution. *Example:* Amazon (direct-to-consumer); Nike (exclusive + multi-brand outlets).
4. **Promotion** – methods used to communicate the product and persuade purchase. Elements: advertising (TV, print, digital), sales promotions (coupons, contests), public relations, personal selling, direct marketing, influencer marketing. *Example:* Cadbury (emotional storytelling in festival ads); Red Bull (sponsored extreme sports/viral videos).
5. **People** – all human actors in service delivery: employees, customer service staff, even other customers. Employee attitude/skill affects service quality; internal marketing (training, motivation) is key. *Example:* Taj Hotels (highly trained staff); McDonald's (standardised training for global consistency).
6. **Process** – the systems, procedures, and flows that deliver the service/product. Affects efficiency and satisfaction; can be standardised or customised. *Example:* Domino's Pizza (30-minute delivery process); Uber (seamless booking/tracking).
7. **Physical Evidence** – tangible cues that help customers evaluate an intangible service: infrastructure (cleanliness, ambiance), brochures, uniforms, websites, receipts, feedback forms, decor. *Example:* ICICI Bank (standardised branch interiors); Starbucks (store aesthetics, music, packaging).

1.17 Classification of Goods and Services

Goods and services are the **core offerings** in any market, classified by nature, use, buying behaviour, and intangibility.

- **Goods:** tangible physical items that satisfy needs/wants.
- **Services:** intangible activities/benefits offered for sale that do **not** result in ownership.

1.17.1 Classification of Goods

(1) Based on Durability and Tangibility

Type	Description	Examples
Durable Goods	Tangible items that last over multiple uses	Cars, TVs, furniture
Non-Durable Goods	Tangible goods consumed in one or few uses	Food, detergents, medicines
Perishable Goods	Goods with a very short shelf life	Dairy, fruits, flowers

(2) Based on Consumer Buying Behaviour

Type	Characteristics	Examples
Convenience Goods	Frequently bought, low involvement, low price	Toothpaste, bread, soap
Shopping Goods	Compared on quality, price, style; more effort	Clothes, electronics, furniture
Specialty Goods	Unique characteristics/brand identification; special purchase effort	Rolex watches, luxury cars
Unsought Goods	Consumers don't normally think of buying; need aggressive promotion	Life insurance, funeral services

(3) Based on Industrial Use

Type	Description	Examples
Raw Materials	Used in manufacturing	Cotton, steel, crude oil
Capital Goods	Used to produce other goods	Machinery, tools
Consumable Supplies	Aid operations but not part of final product	Office stationery, lubricants

1.17.2 Classification of Services**(1) Based on Type of Service**

Type	Description	Examples
Professional Services	Specialised skills/expertise	Legal, accounting, consultancy
Personal Services	Tailored to individual needs	Spa, salon, fitness trainer
Public Services	Provided by government for welfare	Postal services, public healthcare
Business Services	B2B-oriented	Cloud computing, IT support, logistics

(2) Based on Interaction and Delivery

Type	Description	Examples
People-based Services	Require direct human interaction	Hotel check-in, doctor consultation
Equipment-based Services	Delivered through machines/technology	ATMs, online streaming, car wash
Self-Service	Customer performs most of the service activity	Self-checkout, online ticket booking

(3) Based on Intangibility and Customization

Type	Intangibility	Customization	Example
Mass Services	High	Low	Airlines, retail banks
Professional Services	High	High	Consulting, legal advice
Service Shops	Moderate	Moderate	Salons, auto repairs

1.18 Goods–Service Continuum

The **Goods–Service Continuum** is a conceptual model illustrating that **no product is purely a good or purely a service** – every offering falls somewhere on a spectrum between the two.

- Most market offerings are **hybrid products** combining tangible goods and intangible services.
- “Every product has a service element, and every service often requires some form of a tangible product.”
- **Pure Good**: tangible, no associated service (e.g., salt, sugar, soap bar).
- **Pure Service**: intangible, no physical product (e.g., legal advice, education, healthcare consultation).
- **Hybrid**: most real-world offerings combine both (e.g., restaurant meal, mobile phone + warranty).

Offering	Classification	Tangible Component	Intangible Component
Soap Bar	Pure Good	Bar of soap	None
Car Purchase + Warranty	Hybrid	Car	Service plan, warranty
Restaurant	Balanced Hybrid	Food	Service, ambiance
Netflix Subscription	Service with minor tangible aspects	App interface	Streaming service
Healthcare	Pure Service	Medical equipment (background)	Doctor consultation

The continuum runs from **Tangible Dominant** (complete tangible products, e.g., buying groceries and cooking at home) → tangible products with supporting services (all-you-can-eat buffet) → hybrid offers (coffee shop with selection of beans and knowledgeable barista) → major service with supporting products (fine-dining restaurant) → **Intangible Dominant** (pure services, e.g., IV feeding in hospital).

2 Unit 2: Marketing Environment

2.1 What is Marketing Environment?

“Today you have to run faster to stay in the same place.”

The term **Marketing Environment** refers to the market surroundings which affect decisions related to marketing activities and strategies.

- Marketing Environment can be defined as the various **internal (Micro)** and **external (Macro)** factors under which marketing functions take place.
- According to **Philip Kotler**: “Marketing environment refers to external factors and forces that **affect** the company’s ability to **develop and maintain successful transactions** and relationships with its target customers.”

The marketing environment refers to all the external and internal forces that influence a company’s ability to create, communicate, and deliver value to its customers. These forces can:

- **Create opportunities** (e.g., favourable government policies, new technology).
- **Create threats** (e.g., economic slowdown, new competitors).

Marketers must constantly monitor these factors, adapt their strategies, and ensure the company stays competitive.

2.2 Key Components of the Marketing Environment

The marketing environment is broadly divided into two components: **Macro Environment** and **Micro Environment**.

2.2.1 (a) Macro Environment

- Large-scale, **broad forces** that affect not just one company but the entire industry and even multiple sectors.
- These factors are **external and uncontrollable**.
- Examples of macro forces (**PESTLE**): Political, Economic, Socio-cultural, Legal, Ecological, Technological.
- *Example*: The Government of India’s “Digital India” program boosted internet access in rural areas, enabling companies like Reliance Jio and Paytm to expand rapidly.

2.2.2 (b) Micro Environment

- The **immediate environment** surrounding the company, directly affecting its operations and marketing performance.
- Includes: Customers, Suppliers, Competitors, Marketing intermediaries, and Public stakeholders.
- More **company-specific** compared to the macro environment (partially controllable/influenceable).
- *Example*: Flipkart’s micro environment – Suppliers: local and international brands selling via Flipkart; Competitors: Amazon India, Snapdeal, Meesho; Customers: urban and semi-urban online shoppers.

2.3 Analyzing Needs and Trends

To remain competitive, companies must analyse changes in:

- Consumer preferences (likes/dislikes)
- Market demand (how much of a product is wanted)
- Emerging trends (shifts in lifestyle, technology, or habits)

2.3.1 Methods of Analysis

- Market surveys
- Social media listening
- Studying sales data
- Competitor tracking

2.3.2 Example: Rise in Demand for Electric Vehicles (EVs)

- **Need/Trend:** consumers want cost-efficient, eco-friendly transport due to rising petrol prices and environmental concerns.
- **Company Response:** Tata Motors launched models like Nexon EV and Tigor EV, highlighting low running costs (~Rs. 1/km) and zero emissions; marketing campaigns emphasise government subsidies and long-term savings.
- **Impact:** Tata Motors held over 70% share in India's EV passenger vehicle market (2024 data).

2.4 Macro Environment (Detailed)

- The macro environment consists of **external and uncontrollable factors** that influence all industries and organisations.
- Companies cannot change these forces but **must adapt their strategies** to respond effectively.
- These forces create **market opportunities** (favourable trends) and **threats** (challenges to survival).

The six macro-environment branches (as per the course diagram) are:

1. Demographic Factors
2. Social and Cultural Factors
3. Economic Factors
4. Political and Legal Factors
5. Technology Factors
6. Natural Factors

2.4.1 1. Political Environment

Refers to government policies, political stability, taxation rules, and trade regulations that affect business operations. In India, political factors include: Union Budget announcements, FDI (Foreign Direct Investment) policies, GST tax rates, state-level industrial policies. *Example:* In 2020, the Government of India increased GST on sugary soft drinks from 12% to 18% as part of a health initiative; companies like Coca-Cola India and PepsiCo promoted diet and zero-sugar versions to reduce the tax impact and meet health-conscious demand.

2.4.2 2. Economic Environment

Includes factors like GDP growth, inflation rate, unemployment levels, and interest rates that directly influence consumer purchasing power. India's economy is heavily impacted by RBI's interest-rate changes, rupee exchange rates, and inflation levels in essential goods. *Example:* During the 2020 pandemic recession, consumers shifted from premium brands (e.g., imported chocolates) to budget-friendly options (e.g., Parle-G biscuits). During high GDP growth years, sales of cars, smartphones, and luxury goods increase.

2.4.3 3. Socio-Cultural Environment

Refers to values, lifestyles, demographics, cultural beliefs, and education levels of society. In India: urbanisation is increasing; Millennials and Gen Z dominate the workforce; religious festivals drive seasonal sales. *Example:* Growing health and fitness awareness in urban India has led to higher demand for organic food, herbal products, and fitness equipment – companies like Patanjali, Organic India, and 24 Mantra Organic have benefited.

2.4.4 4. Legal Environment

Consists of laws and regulations governing consumer protection, labor laws, product safety standards, and advertising regulations. Businesses must comply to avoid penalties. *Example:* The ban on single-use plastic bags in Maharashtra (2018) forced retailers like Big Bazaar, Reliance Fresh, and Spencer's to shift to cloth and paper bags.

2.4.5 5. Ecological (Natural) Environment

Includes natural resources, environmental regulations, climate change effects, and sustainability concerns. In India, issues like water scarcity, air pollution, and climate-driven crop failures affect business. *Example:* Drought conditions in Maharashtra increased bottled water demand; companies like Bisleri and Aquafina saw seasonal price rises due to higher demand and supply costs.

2.4.6 6. Technological Environment

Refers to the rate of technological development and adoption that impacts how products are made, marketed, and delivered. In India: mobile internet penetration is booming; AI, automation, and digital payment systems are transforming industries. *Example:* HDFC Bank and ICICI Bank launched AI-powered chatbots for instant customer service; e-commerce platforms like Flipkart use AI for product recommendations.

2.5 Micro Environment (Detailed)

- The micro environment refers to the close and controllable/influenceable forces that directly impact a company's ability to serve its customers effectively.

- These are **industry-specific factors** and **market participants** that interact with the business on a daily basis.
- A company can **influence** some micro-environment elements (through pricing, quality, promotions), unlike macro-environment forces which are largely uncontrollable.

2.5.1 Industry

Refers to the nature, size, structure, and growth rate of the industry in which the company operates. The health of the industry affects sales potential and competitive dynamics.

Example – Smartphone Industry

- **Nature:** highly competitive, technology-driven, fast product turnover.
- **Size:** India is the second-largest smartphone market in the world, with over 600 million smartphone users (2024).
- **Growth Rate:** growing around 6–8% annually due to affordable 4G/5G and budget smartphones.
- **Impact on Marketing:** brands like Xiaomi and Realme release multiple models per year to keep up with demand and innovation trends; aggressive online sales via Flipkart/Amazon are common to quickly penetrate the market.

2.5.2 Competition

Refers to other firms offering products/services that satisfy the same or similar customer needs. Understanding competition helps businesses position themselves effectively and design strategies to capture market share.

Types of Competition

- **Direct Competition** – competing with companies offering the same or very similar product. *Example:* (Indian) Pepsi vs. Coca-Cola in the carbonated soft-drink market.
- **Indirect Competition** – competing with products that satisfy the same need in a different way. *Example:* Tata Tea vs. Nescafé – both compete for the morning-beverage segment even though the products differ.

2.6 Porter's Five Forces Model

A framework for analysing the competitive intensity and attractiveness of an industry, based on five forces:

1. **Rivalry of Competitors (Competitive Rivalry)** – intensity of competition within the industry.
2. **Threat of New Entrants** – how easily new competitors can enter the market.
3. **Bargaining Power of Suppliers** – influence suppliers have on prices/quality.
4. **Bargaining Power of Buyers (Customers' Strength)** – influence customers have on pricing and product features.
5. **Threat of Substitutes** – availability of alternative products/services meeting the same need.

These five forces together determine the overall profitability and competitive attractiveness of an industry – the stronger each force, the more it constrains a firm's ability to raise prices and earn higher profits.

– *End of Unit 1 & Unit 2 Notes* –